IB Economics - Topic 3.3: Teacher and AI Grading Guide

Macroeconomic Objectives | Questions 1-50

Scope and assessment status

Each original paired question has (a) 10 marks and (b) 15 marks. 42 questions cover SL/HL content and 8 are labelled HL. Difficulty: 10 Easy, 25 Medium, 15 Hard pairs, distributed through the bank. Level and difficulty are independent.

Growth, unemployment, inflation, deflation and their causes/costs and possible conflicts. Weighted CPI, government debt and Phillips-curve material in marked questions is HL only.

The uploaded Economics for the IB Diploma textbook (second edition, 2012) was used for underlying explanations and terminology. Its older syllabus sequence does not set the limits of this current Topic 3.3.

These are original adapted Paper 1-style practice questions, not official IB examination or marking material. The question bank revisits syllabus mechanisms through distinct explanatory and evaluative tasks; the pairs are alternatives for practice, not separate official learning outcomes.

Coverage blueprint

Growth: 10 pairs

Unemployment: 12 pairs

Inflation: 9 pairs

Deflation: 6 pairs

Objectives: 5 pairs

HL debt: 3 pairs

HL Phillips: 3 pairs

HL CPI: 2 pairs

Marking principles

Use best-fit assessment for each part, not a fixed marks-per-keyword checklist. Credit accurate alternatives addressing the task. Do not require every example or qualification below.

Part (a): 10 marks

Practice bands: 0; 1-2 limited; 3-4 mainly descriptive; 5-6 partial explanation; 7-8 clear and accurate causal analysis; 9-10 fully developed explanation with any required diagram or calculation. These abbreviated bands are not official IB descriptors.

Part (b): 15 marks

Practice bands: 0; 1-3 very limited; 4-6 superficial; 7-9 developed but weakly balanced; 10-12 balanced analysis and evaluation; 13-15 sustained, applied evaluation and supported judgment. A named case alone is not developed application.

Diagram and AI grading

Require diagrams when expressly requested and accept an economically equivalent correctly labelled representation. Verify axes, initial and final equilibria and the stated causal shift. In numerical questions, verify method, units and interpretation; allow correct alternative calculations. Do not award a correct final number after an invalid method without examining the work.

Record separate marks for (a) and (b), band evidence, diagram or numerical features if relevant, economic misconceptions, quality of real-world application, and one actionable improvement per part. If a student drawing is unclear, flag the uncertainty rather than assuming correctness.

Question 1

Easy | SL/HL | 25 marks

Topic 3.3: Growth

(a) [10] Using a PPC diagram, explain the difference between actual economic growth and growth in productive potential.

(b) [15] Using real-world examples, discuss whether a rise in real GDP always reflects improved productive capacity.

Part (a) - Indicative answer and marking guidance

Essential concepts. Actual growth can reflect greater AD/utilisation; long-term growth requires increased potential output. Growth may affect distribution and environment.

Required reasoning. Movement toward PPC shows utilisation; outward PPC shift shows capacity growth, so a recovery can raise output without extending potential.

Expected diagram or calculation. Two goods on the axes. Show a movement from an interior point toward an unchanged PPC for actual growth, and an outward PPC shift for higher productive potential; label initial and final points and explain the difference.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes growth from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Movement toward PPC shows utilisation; outward PPC shift shows capacity growth, so a recovery can raise output without extending potential.

Counterargument and conditions. Recovery of idle capacity differs from enduring potential growth; average output may mask inequality.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 2

Medium | SL/HL | 25 marks

Topic 3.3: Growth

(a) [10] Using an AD/AS diagram, explain how stronger aggregate demand can raise real output in the short term.

(b) [15] Using real-world examples, evaluate whether demand-led growth is likely to be sustainable.

Part (a) - Indicative answer and marking guidance

Essential concepts. Actual growth can reflect greater AD/utilisation; long-term growth requires increased potential output. Growth may affect distribution and environment.

Required reasoning. AD right raises output when slack exists; inflation and capacity limits may curb lasting gains.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes growth from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. AD right raises output when slack exists; inflation and capacity limits may curb lasting gains.

Counterargument and conditions. Recovery of idle capacity differs from enduring potential growth; average output may mask inequality.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 3

Hard | SL/HL | 25 marks

Topic 3.3: Growth

(a) [10] Using an AD/AS diagram, explain how an increase in LRAS can raise full-employment output.

(b) [15] Using real-world examples, discuss whether productive-capacity growth guarantees higher living standards.

Part (a) - Indicative answer and marking guidance

Essential concepts. Actual growth can reflect greater AD/utilisation; long-term growth requires increased potential output. Growth may affect distribution and environment.

Required reasoning. LRAS right lifts potential; actual per-capita gains depend on demand, population and distribution.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes growth from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. LRAS right lifts potential; actual per-capita gains depend on demand, population and distribution.

Counterargument and conditions. Recovery of idle capacity differs from enduring potential growth; average output may mask inequality.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 4

Medium | SL/HL | 25 marks

Topic 3.3: Growth

(a) [10] Explain how the annual economic growth rate is calculated using real GDP data.

(b) [15] Using real-world examples, evaluate whether a high GDP growth rate is sufficient evidence of development.

Part (a) - Indicative answer and marking guidance

Essential concepts. Actual growth can reflect greater AD/utilisation; long-term growth requires increased potential output. Growth may affect distribution and environment.

Required reasoning. Percentage change=(new-old)/old*100; a low initial base and non-income outcomes matter.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes growth from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Percentage change=(new-old)/old*100; a low initial base and non-income outcomes matter.

Counterargument and conditions. Recovery of idle capacity differs from enduring potential growth; average output may mask inequality.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 5

Medium | SL/HL | 25 marks

Topic 3.3: Growth

(a) [10] Given real GDP of 500 billion last year and 525 billion this year, calculate the growth rate and explain its meaning.

(b) [15] Using real-world examples, discuss whether a 5% rise in real GDP necessarily improves welfare for all households.

Part (a) - Indicative answer and marking guidance

Essential concepts. Actual growth can reflect greater AD/utilisation; long-term growth requires increased potential output. Growth may affect distribution and environment.

Required reasoning. Growth is 5%; gains may be unevenly distributed or carry environmental costs.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes growth from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Growth is 5%; gains may be unevenly distributed or carry environmental costs.

Counterargument and conditions. Recovery of idle capacity differs from enduring potential growth; average output may mask inequality.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 6

Easy | SL/HL | 25 marks

Topic 3.3: Growth

(a) [10] Explain how a growing labour force can increase GDP without raising GDP per capita.

(b) [15] Using real-world examples, evaluate whether total real GDP is the best measure of growth in living standards.

Part (a) - Indicative answer and marking guidance

Essential concepts. Actual growth can reflect greater AD/utilisation; long-term growth requires increased potential output. Growth may affect distribution and environment.

Required reasoning. Total production may rise while population expands equally or faster.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes growth from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Total production may rise while population expands equally or faster.

Counterargument and conditions. Recovery of idle capacity differs from enduring potential growth; average output may mask inequality.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 7

Hard | SL/HL | 25 marks

Topic 3.3: Growth

(a) [10] Explain how investment in productive capacity differs from a short-run rise in spending.

(b) [15] Using real-world examples, discuss whether investment growth always increases potential output.

Part (a) - Indicative answer and marking guidance

Essential concepts. Actual growth can reflect greater AD/utilisation; long-term growth requires increased potential output. Growth may affect distribution and environment.

Required reasoning. Investment adds capital and can boost AD; quality, depreciation and resource use determine lasting capacity.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes growth from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Investment adds capital and can boost AD; quality, depreciation and resource use determine lasting capacity.

Counterargument and conditions. Recovery of idle capacity differs from enduring potential growth; average output may mask inequality.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 8

Medium | SL/HL | 25 marks

Topic 3.3: Growth

(a) [10] Explain how economic growth can affect government revenue and the provision of public services.

(b) [15] Using real-world examples, evaluate whether growth must improve access to services.

Part (a) - Indicative answer and marking guidance

Essential concepts. Actual growth can reflect greater AD/utilisation; long-term growth requires increased potential output. Growth may affect distribution and environment.

Required reasoning. Higher taxable income may fund services, conditional on tax structure and spending choices.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes growth from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher taxable income may fund services, conditional on tax structure and spending choices.

Counterargument and conditions. Recovery of idle capacity differs from enduring potential growth; average output may mask inequality.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 9

Hard | SL/HL | 25 marks

Topic 3.3: Growth

(a) [10] Explain one way in which economic growth may damage environmental quality.

(b) [15] Using real-world examples, discuss whether growth and sustainability are necessarily in conflict.

Part (a) - Indicative answer and marking guidance

Essential concepts. Actual growth can reflect greater AD/utilisation; long-term growth requires increased potential output. Growth may affect distribution and environment.

Required reasoning. Output expansion can raise resource use and emissions; cleaner technology may decouple them.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes growth from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Output expansion can raise resource use and emissions; cleaner technology may decouple them.

Counterargument and conditions. Recovery of idle capacity differs from enduring potential growth; average output may mask inequality.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 10

Medium | SL/HL | 25 marks

Topic 3.3: Growth

(a) [10] Explain how economic growth can change the distribution of income.

(b) [15] Using real-world examples, evaluate whether rapid growth always reduces inequality.

Part (a) - Indicative answer and marking guidance

Essential concepts. Actual growth can reflect greater AD/utilisation; long-term growth requires increased potential output. Growth may affect distribution and environment.

Required reasoning. Factor returns and ownership determine who gains; employment gains can coexist with rising asset income.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes growth from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Factor returns and ownership determine who gains; employment gains can coexist with rising asset income.

Counterargument and conditions. Recovery of idle capacity differs from enduring potential growth; average output may mask inequality.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 11

Easy | SL/HL | 25 marks

Topic 3.3: Unemployment

(a) [10] Explain how the unemployment rate is calculated from the labour force and unemployed people.

(b) [15] Using real-world examples, discuss whether a falling unemployment rate always indicates a stronger labour market.

Part (a) - Indicative answer and marking guidance

Essential concepts. Unemployment rate=unemployed/labour force*100; cyclical, structural, seasonal and frictional types have different causes.

Required reasoning. Rate=unemployed/labour force*100; participation exits can lower the rate without more jobs.

Expected diagram or calculation. Where requested, label AD/AS or labour-market axes, starting equilibrium, correct shift and changed output/employment. For rates, calculate unemployed divided by labour force.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes unemployment from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Rate=unemployed/labour force*100; participation exits can lower the rate without more jobs.

Counterargument and conditions. The official rate misses some discouraged and underemployed workers; full employment still permits natural unemployment.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 12

Medium | SL/HL | 25 marks

Topic 3.3: Unemployment

(a) [10] Given 2 million unemployed people and a labour force of 50 million, calculate the unemployment rate and explain who is excluded from this measure.

(b) [15] Using real-world examples, evaluate whether a 4% unemployment rate proves full employment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Unemployment rate=unemployed/labour force*100; cyclical, structural, seasonal and frictional types have different causes.

Required reasoning. Rate is 4%; full employment means absence of cyclical unemployment, not zero measured joblessness.

Expected diagram or calculation. Where requested, label AD/AS or labour-market axes, starting equilibrium, correct shift and changed output/employment. For rates, calculate unemployed divided by labour force.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes unemployment from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Rate is 4%; full employment means absence of cyclical unemployment, not zero measured joblessness.

Counterargument and conditions. The official rate misses some discouraged and underemployed workers; full employment still permits natural unemployment.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 13

Hard | SL/HL | 25 marks

Topic 3.3: Unemployment

(a) [10] Explain why a person who stops looking for work may no longer count as unemployed.

(b) [15] Using real-world examples, discuss whether headline unemployment data understate labour-market hardship.

Part (a) - Indicative answer and marking guidance

Essential concepts. Unemployment rate=unemployed/labour force*100; cyclical, structural, seasonal and frictional types have different causes.

Required reasoning. Discouraged workers may leave the labour force, changing the denominator and concealing unmet work.

Expected diagram or calculation. Where requested, label AD/AS or labour-market axes, starting equilibrium, correct shift and changed output/employment. For rates, calculate unemployed divided by labour force.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes unemployment from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Discouraged workers may leave the labour force, changing the denominator and concealing unmet work.

Counterargument and conditions. The official rate misses some discouraged and underemployed workers; full employment still permits natural unemployment.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 14

Medium | SL/HL | 25 marks

Topic 3.3: Unemployment

(a) [10] Using an AD/AS diagram, explain how falling AD can cause cyclical unemployment.

(b) [15] Using real-world examples, evaluate whether a recession is the only cause of rising unemployment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Unemployment rate=unemployed/labour force*100; cyclical, structural, seasonal and frictional types have different causes.

Required reasoning. Output below potential reduces derived demand for labour; structural or seasonal causes can coexist.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes unemployment from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Output below potential reduces derived demand for labour; structural or seasonal causes can coexist.

Counterargument and conditions. The official rate misses some discouraged and underemployed workers; full employment still permits natural unemployment.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 15

Medium | SL/HL | 25 marks

Topic 3.3: Unemployment

(a) [10] Using a labour-market diagram, explain how a decline in demand for workers can cause unemployment in one industry.

(b) [15] Using real-world examples, discuss whether industry job losses imply higher national unemployment permanently.

Part (a) - Indicative answer and marking guidance

Essential concepts. Unemployment rate=unemployed/labour force*100; cyclical, structural, seasonal and frictional types have different causes.

Required reasoning. Leftward labour-demand shift reduces employment at a sticky wage; reallocation and training may change outcomes.

Expected diagram or calculation. Where requested, label AD/AS or labour-market axes, starting equilibrium, correct shift and changed output/employment. For rates, calculate unemployed divided by labour force.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes unemployment from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Leftward labour-demand shift reduces employment at a sticky wage; reallocation and training may change outcomes.

Counterargument and conditions. The official rate misses some discouraged and underemployed workers; full employment still permits natural unemployment.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 16

Easy | SL/HL | 25 marks

Topic 3.3: Unemployment

(a) [10] Explain how skills mismatch can cause structural unemployment.

(b) [15] Using real-world examples, evaluate whether a recovery in aggregate demand alone can solve structural joblessness.

Part (a) - Indicative answer and marking guidance

Essential concepts. Unemployment rate=unemployed/labour force*100; cyclical, structural, seasonal and frictional types have different causes.

Required reasoning. Available vacancies may demand different skills or locations; more AD may not remove mismatch.

Expected diagram or calculation. Where requested, label AD/AS or labour-market axes, starting equilibrium, correct shift and changed output/employment. For rates, calculate unemployed divided by labour force.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes unemployment from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Available vacancies may demand different skills or locations; more AD may not remove mismatch.

Counterargument and conditions. The official rate misses some discouraged and underemployed workers; full employment still permits natural unemployment.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 17

Hard | SL/HL | 25 marks

Topic 3.3: Unemployment

(a) [10] Explain why seasonal unemployment differs from frictional unemployment.

(b) [15] Using real-world examples, discuss whether seasonal work patterns necessarily indicate a failing economy.

Part (a) - Indicative answer and marking guidance

Essential concepts. Unemployment rate=unemployed/labour force*100; cyclical, structural, seasonal and frictional types have different causes.

Required reasoning. Seasonal jobs vary predictably while frictional unemployment occurs during job search and transition.

Expected diagram or calculation. Where requested, label AD/AS or labour-market axes, starting equilibrium, correct shift and changed output/employment. For rates, calculate unemployed divided by labour force.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes unemployment from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Seasonal jobs vary predictably while frictional unemployment occurs during job search and transition.

Counterargument and conditions. The official rate misses some discouraged and underemployed workers; full employment still permits natural unemployment.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 18

Medium | SL/HL | 25 marks

Topic 3.3: Unemployment

(a) [10] Explain how frictional unemployment can persist even at full employment.

(b) [15] Using real-world examples, evaluate whether attempts to eliminate all job-search unemployment would be desirable.

Part (a) - Indicative answer and marking guidance

Essential concepts. Unemployment rate=unemployed/labour force*100; cyclical, structural, seasonal and frictional types have different causes.

Required reasoning. Workers search for better matches; full employment excludes cyclical unemployment, not normal turnover.

Expected diagram or calculation. Where requested, label AD/AS or labour-market axes, starting equilibrium, correct shift and changed output/employment. For rates, calculate unemployed divided by labour force.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes unemployment from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Workers search for better matches; full employment excludes cyclical unemployment, not normal turnover.

Counterargument and conditions. The official rate misses some discouraged and underemployed workers; full employment still permits natural unemployment.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 19

Hard | SL/HL | 25 marks

Topic 3.3: Unemployment

(a) [10] Explain why the natural rate of unemployment includes structural, seasonal and frictional unemployment.

(b) [15] Using real-world examples, discuss whether a low natural rate can be achieved without trade-offs.

Part (a) - Indicative answer and marking guidance

Essential concepts. Unemployment rate=unemployed/labour force*100; cyclical, structural, seasonal and frictional types have different causes.

Required reasoning. Non-cyclical components persist, and policies to reduce them have costs and distributional effects.

Expected diagram or calculation. Where requested, label AD/AS or labour-market axes, starting equilibrium, correct shift and changed output/employment. For rates, calculate unemployed divided by labour force.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes unemployment from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Non-cyclical components persist, and policies to reduce them have costs and distributional effects.

Counterargument and conditions. The official rate misses some discouraged and underemployed workers; full employment still permits natural unemployment.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 20

Medium | SL/HL | 25 marks

Topic 3.3: Unemployment

(a) [10] Explain two economic costs associated with prolonged unemployment.

(b) [15] Using real-world examples, evaluate whether the cost of unemployment is mainly lost production.

Part (a) - Indicative answer and marking guidance

Essential concepts. Unemployment rate=unemployed/labour force*100; cyclical, structural, seasonal and frictional types have different causes.

Required reasoning. Lost output and tax revenue accompany skill loss, hardship and social costs.

Expected diagram or calculation. Where requested, label AD/AS or labour-market axes, starting equilibrium, correct shift and changed output/employment. For rates, calculate unemployed divided by labour force.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes unemployment from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lost output and tax revenue accompany skill loss, hardship and social costs.

Counterargument and conditions. The official rate misses some discouraged and underemployed workers; full employment still permits natural unemployment.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 21

Easy | SL/HL | 25 marks

Topic 3.3: Unemployment

(a) [10] Using a minimum-wage diagram, explain how a wage above equilibrium can produce unemployment in a competitive labour market.

(b) [15] Using real-world examples, discuss whether a higher minimum wage necessarily raises unemployment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Unemployment rate=unemployed/labour force*100; cyclical, structural, seasonal and frictional types have different causes.

Required reasoning. At a binding floor, labour supplied exceeds demand in the simple model; monopsony and demand responses can alter outcomes.

Expected diagram or calculation. Wage rate vertically and labour quantity horizontally, downward labour demand and upward labour supply. Mark competitive equilibrium, a binding minimum wage above it, quantity demanded/supplied and potential excess labour supply; note that actual employment effects may differ with employer power.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes unemployment from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. At a binding floor, labour supplied exceeds demand in the simple model; monopsony and demand responses can alter outcomes.

Counterargument and conditions. The official rate misses some discouraged and underemployed workers; full employment still permits natural unemployment.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 22

Medium | SL/HL | 25 marks

Topic 3.3: Unemployment

(a) [10] Explain why underemployment and discouraged workers complicate assessment of low unemployment.

(b) [15] Using real-world examples, evaluate whether the official unemployment rate captures all unused labour.

Part (a) - Indicative answer and marking guidance

Essential concepts. Unemployment rate=unemployed/labour force*100; cyclical, structural, seasonal and frictional types have different causes.

Required reasoning. Hours shortfalls and non-participants seeking work can make labour slack broader than measured unemployment.

Expected diagram or calculation. Where requested, label AD/AS or labour-market axes, starting equilibrium, correct shift and changed output/employment. For rates, calculate unemployed divided by labour force.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes unemployment from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Hours shortfalls and non-participants seeking work can make labour slack broader than measured unemployment.

Counterargument and conditions. The official rate misses some discouraged and underemployed workers; full employment still permits natural unemployment.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 23

Hard | SL/HL | 25 marks

Topic 3.3: Inflation

(a) [10] Explain how a consumer price index can measure changes in the cost of a representative basket.

(b) [15] Using real-world examples, discuss whether a national CPI reflects every household's inflation experience.

Part (a) - Indicative answer and marking guidance

Essential concepts. Inflation is sustained growth in the overall price level, measured using CPI. Demand-pull and cost-push mechanisms differ.

Required reasoning. Basket prices and weights yield an index; differing consumption patterns give different personal inflation.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes inflation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Basket prices and weights yield an index; differing consumption patterns give different personal inflation.

Counterargument and conditions. Demand and supply shocks have different implications; a one-time price increase need not persist.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 24

Medium | SL/HL | 25 marks

Topic 3.3: Inflation

(a) [10] Given a CPI of 120 last year and 126 this year, calculate the inflation rate and distinguish the rate from the CPI level.

(b) [15] Using real-world examples, evaluate whether positive inflation means households are worse off.

Part (a) - Indicative answer and marking guidance

Essential concepts. Inflation is sustained growth in the overall price level, measured using CPI. Demand-pull and cost-push mechanisms differ.

Required reasoning. Inflation is (126-120)/120*100=5%; nominal income and individual baskets affect real purchasing power.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes inflation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Inflation is (126-120)/120*100=5%; nominal income and individual baskets affect real purchasing power.

Counterargument and conditions. Demand and supply shocks have different implications; a one-time price increase need not persist.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 25

Medium | SL/HL | 25 marks

Topic 3.3: Inflation

(a) [10] Explain why an increase in the CPI differs from an increase in the price of one good.

(b) [15] Using real-world examples, discuss whether one dramatic price rise demonstrates economy-wide inflation.

Part (a) - Indicative answer and marking guidance

Essential concepts. Inflation is sustained growth in the overall price level, measured using CPI. Demand-pull and cost-push mechanisms differ.

Required reasoning. CPI combines weighted basket prices; an individual change affects the index according to its weight.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes inflation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. CPI combines weighted basket prices; an individual change affects the index according to its weight.

Counterargument and conditions. Demand and supply shocks have different implications; a one-time price increase need not persist.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 26

Easy | SL/HL | 25 marks

Topic 3.3: Inflation

(a) [10] Using an AD/AS diagram, explain how demand-pull inflation can arise.

(b) [15] Using real-world examples, evaluate whether rapid spending growth always produces high inflation.

Part (a) - Indicative answer and marking guidance

Essential concepts. Inflation is sustained growth in the overall price level, measured using CPI. Demand-pull and cost-push mechanisms differ.

Required reasoning. AD right raises prices especially near capacity; AS growth may offset demand.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes inflation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. AD right raises prices especially near capacity; AS growth may offset demand.

Counterargument and conditions. Demand and supply shocks have different implications; a one-time price increase need not persist.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 27

Hard | SL/HL | 25 marks

Topic 3.3: Inflation

(a) [10] Using an AD/AS diagram, explain how rising production costs can cause cost-push inflation.

(b) [15] Using real-world examples, discuss whether a cost shock must create persistent inflation.

Part (a) - Indicative answer and marking guidance

Essential concepts. Inflation is sustained growth in the overall price level, measured using CPI. Demand-pull and cost-push mechanisms differ.

Required reasoning. SRAS left raises prices and lowers output; persistence depends on expectations and repeated shocks.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes inflation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. SRAS left raises prices and lowers output; persistence depends on expectations and repeated shocks.

Counterargument and conditions. Demand and supply shocks have different implications; a one-time price increase need not persist.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 28

Medium | SL/HL | 25 marks

Topic 3.3: Inflation

(a) [10] Explain why inflation may redistribute purchasing power between borrowers and lenders.

(b) [15] Using real-world examples, evaluate whether unexpected inflation benefits all debtors.

Part (a) - Indicative answer and marking guidance

Essential concepts. Inflation is sustained growth in the overall price level, measured using CPI. Demand-pull and cost-push mechanisms differ.

Required reasoning. Unexpected price rises erode fixed nominal debt in real terms, subject to variable rates and indexed contracts.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes inflation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Unexpected price rises erode fixed nominal debt in real terms, subject to variable rates and indexed contracts.

Counterargument and conditions. Demand and supply shocks have different implications; a one-time price increase need not persist.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 29

Hard | SL/HL | 25 marks

Topic 3.3: Inflation

(a) [10] Explain how high and unpredictable inflation can affect business investment.

(b) [15] Using real-world examples, discuss whether moderate inflation has the same costs as volatile inflation.

Part (a) - Indicative answer and marking guidance

Essential concepts. Inflation is sustained growth in the overall price level, measured using CPI. Demand-pull and cost-push mechanisms differ.

Required reasoning. Price uncertainty clouds expected real returns; stable inflation can be less disruptive.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes inflation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Price uncertainty clouds expected real returns; stable inflation can be less disruptive.

Counterargument and conditions. Demand and supply shocks have different implications; a one-time price increase need not persist.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 30

Medium | SL/HL | 25 marks

Topic 3.3: Inflation

(a) [10] Explain how domestic inflation may reduce export competitiveness.

(b) [15] Using real-world examples, evaluate whether inflation always causes export sales to fall.

Part (a) - Indicative answer and marking guidance

Essential concepts. Inflation is sustained growth in the overall price level, measured using CPI. Demand-pull and cost-push mechanisms differ.

Required reasoning. Relative export prices matter alongside exchange-rate movements and quality.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes inflation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Relative export prices matter alongside exchange-rate movements and quality.

Counterargument and conditions. Demand and supply shocks have different implications; a one-time price increase need not persist.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 31

Easy | SL/HL | 25 marks

Topic 3.3: Inflation

(a) [10] Explain one limitation of CPI arising from changes in product quality or substitution.

(b) [15] Using real-world examples, discuss whether CPI is an unbiased measure of every household's cost of living.

Part (a) - Indicative answer and marking guidance

Essential concepts. Inflation is sustained growth in the overall price level, measured using CPI. Demand-pull and cost-push mechanisms differ.

Required reasoning. Fixed baskets or imperfect quality adjustment can misstate changes in living costs.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes inflation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Fixed baskets or imperfect quality adjustment can misstate changes in living costs.

Counterargument and conditions. Demand and supply shocks have different implications; a one-time price increase need not persist.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 32

Medium | SL/HL | 25 marks

Topic 3.3: Deflation

(a) [10] Explain the difference between deflation and disinflation.

(b) [15] Using real-world examples, discuss whether a falling inflation rate implies that prices have fallen.

Part (a) - Indicative answer and marking guidance

Essential concepts. Deflation is falling general price level, unlike disinflation; demand- and supply-driven cases have different output effects.

Required reasoning. Disinflation is slower price-level growth, while deflation is a fall in the overall price level.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes deflation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Disinflation is slower price-level growth, while deflation is a fall in the overall price level.

Counterargument and conditions. Supply-driven falling prices alongside rising output differ from demand-driven debt deflation.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 33

Hard | SL/HL | 25 marks

Topic 3.3: Deflation

(a) [10] Using an AD/AS diagram, explain how a fall in aggregate demand can create deflation.

(b) [15] Using real-world examples, evaluate whether all episodes of deflation indicate weak demand.

Part (a) - Indicative answer and marking guidance

Essential concepts. Deflation is falling general price level, unlike disinflation; demand- and supply-driven cases have different output effects.

Required reasoning. AD left lowers output and prices; rising SRAS can also lower prices with higher output.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes deflation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. AD left lowers output and prices; rising SRAS can also lower prices with higher output.

Counterargument and conditions. Supply-driven falling prices alongside rising output differ from demand-driven debt deflation.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 34

Medium | SL/HL | 25 marks

Topic 3.3: Deflation

(a) [10] Using an AD/AS diagram, explain how improved aggregate supply can lower the price level.

(b) [15] Using real-world examples, discuss whether falling prices are necessarily harmful.

Part (a) - Indicative answer and marking guidance

Essential concepts. Deflation is falling general price level, unlike disinflation; demand- and supply-driven cases have different output effects.

Required reasoning. SRAS right can increase output while reducing prices, unlike demand-led deflation.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes deflation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. SRAS right can increase output while reducing prices, unlike demand-led deflation.

Counterargument and conditions. Supply-driven falling prices alongside rising output differ from demand-driven debt deflation.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 35

Medium | SL/HL | 25 marks

Topic 3.3: Deflation

(a) [10] Explain why deflation can raise the real burden of nominal debt.

(b) [15] Using real-world examples, evaluate whether lower prices benefit borrowers and lenders equally.

Part (a) - Indicative answer and marking guidance

Essential concepts. Deflation is falling general price level, unlike disinflation; demand- and supply-driven cases have different output effects.

Required reasoning. Fixed money repayments buy more goods after deflation, straining borrowers while benefiting creditors.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes deflation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Fixed money repayments buy more goods after deflation, straining borrowers while benefiting creditors.

Counterargument and conditions. Supply-driven falling prices alongside rising output differ from demand-driven debt deflation.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 36

Easy | SL/HL | 25 marks

Topic 3.3: Deflation

(a) [10] Explain how expectations of falling prices can cause households to postpone consumption.

(b) [15] Using real-world examples, discuss whether deflation always delays all spending.

Part (a) - Indicative answer and marking guidance

Essential concepts. Deflation is falling general price level, unlike disinflation; demand- and supply-driven cases have different output effects.

Required reasoning. Deferrable purchases may be postponed, but necessities and falling-cost innovations may resist delay.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes deflation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Deferrable purchases may be postponed, but necessities and falling-cost innovations may resist delay.

Counterargument and conditions. Supply-driven falling prices alongside rising output differ from demand-driven debt deflation.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 37

Hard | SL/HL | 25 marks

Topic 3.3: Deflation

(a) [10] Explain how demand-led deflation may be associated with bankruptcies and unemployment.

(b) [15] Using real-world examples, evaluate whether lower prices are sufficient to restore demand after a recession.

Part (a) - Indicative answer and marking guidance

Essential concepts. Deflation is falling general price level, unlike disinflation; demand- and supply-driven cases have different output effects.

Required reasoning. Weak sales reduce revenue, employment and debt-service capacity; falling prices can worsen real debt.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes deflation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Weak sales reduce revenue, employment and debt-service capacity; falling prices can worsen real debt.

Counterargument and conditions. Supply-driven falling prices alongside rising output differ from demand-driven debt deflation.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 38

Medium | SL/HL | 25 marks

Topic 3.3: Objectives

(a) [10] Explain why low unemployment and low inflation may conflict after a demand expansion near capacity.

(b) [15] Using real-world examples, discuss whether policymakers must always choose between these objectives.

Part (a) - Indicative answer and marking guidance

Essential concepts. Macroeconomic goals can conflict depending on spare capacity and shocks, with possible longer-term complementarities.

Required reasoning. AD right can lower cyclical unemployment and raise the price level, but supply improvement may ease the trade-off.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes objectives from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. AD right can lower cyclical unemployment and raise the price level, but supply improvement may ease the trade-off.

Counterargument and conditions. Long-run supply improvement can relax a short-run conflict, so a trade-off is conditional.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 39

Hard | SL/HL | 25 marks

Topic 3.3: Objectives

(a) [10] Explain why reducing cost-push inflation can have different employment effects from reducing demand-pull inflation.

(b) [15] Using real-world examples, evaluate whether a single inflation target is sufficient for all shocks.

Part (a) - Indicative answer and marking guidance

Essential concepts. Macroeconomic goals can conflict depending on spare capacity and shocks, with possible longer-term complementarities.

Required reasoning. A supply shock lowers output while raising prices, complicating contractionary demand responses.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes objectives from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A supply shock lowers output while raising prices, complicating contractionary demand responses.

Counterargument and conditions. Long-run supply improvement can relax a short-run conflict, so a trade-off is conditional.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 40

Medium | SL/HL | 25 marks

Topic 3.3: Objectives

(a) [10] Explain how rapid growth can conflict with environmental sustainability.

(b) [15] Using real-world examples, discuss whether environmental harm is an inevitable cost of growth.

Part (a) - Indicative answer and marking guidance

Essential concepts. Macroeconomic goals can conflict depending on spare capacity and shocks, with possible longer-term complementarities.

Required reasoning. Resource-intensive output can increase emissions; technology and regulation may change intensity.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes objectives from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Resource-intensive output can increase emissions; technology and regulation may change intensity.

Counterargument and conditions. Long-run supply improvement can relax a short-run conflict, so a trade-off is conditional.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 41

Easy | SL/HL | 25 marks

Topic 3.3: Objectives

(a) [10] Explain why growth in real GDP can coincide with increasing income inequality.

(b) [15] Using real-world examples, evaluate whether the gains from growth will spread across households automatically.

Part (a) - Indicative answer and marking guidance

Essential concepts. Macroeconomic goals can conflict depending on spare capacity and shocks, with possible longer-term complementarities.

Required reasoning. Ownership and bargaining power affect distribution of growth proceeds.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes objectives from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Ownership and bargaining power affect distribution of growth proceeds.

Counterargument and conditions. Long-run supply improvement can relax a short-run conflict, so a trade-off is conditional.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 42

Medium | SL/HL | 25 marks

Topic 3.3: Objectives

(a) [10] Explain why price stability and economic growth can reinforce each other over the long term.

(b) [15] Using real-world examples, evaluate whether stabilising inflation is sufficient to secure growth.

Part (a) - Indicative answer and marking guidance

Essential concepts. Macroeconomic goals can conflict depending on spare capacity and shocks, with possible longer-term complementarities.

Required reasoning. Predictable prices support planning, but capacity and productivity also govern long-run output.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes objectives from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Predictable prices support planning, but capacity and productivity also govern long-run output.

Counterargument and conditions. Long-run supply improvement can relax a short-run conflict, so a trade-off is conditional.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 43

Hard | HL | 25 marks

Topic 3.3: HL debt

(a) [10] Explain how repeated government budget deficits can add to the stock of national debt.

(b) [15] Using real-world examples, evaluate whether a budget deficit necessarily makes debt unsustainable.

Part (a) - Indicative answer and marking guidance

Essential concepts. A deficit is a flow; public debt is a stock. Debt-to-GDP and servicing costs affect sustainability.

Required reasoning. A deficit adds to borrowing; sustainability depends on GDP growth, interest costs and initial debt.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl debt from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A deficit adds to borrowing; sustainability depends on GDP growth, interest costs and initial debt.

Counterargument and conditions. Debt sustainability depends on borrowing costs, growth, maturity and revenues, not one ratio.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 44

Medium | HL | 25 marks

Topic 3.3: HL debt

(a) [10] Given national debt of 600 billion and GDP of 1,200 billion, calculate the debt-to-GDP ratio and explain why it may change without new borrowing.

(b) [15] Using real-world examples, discuss whether a 50% debt-to-GDP ratio alone indicates fiscal distress.

Part (a) - Indicative answer and marking guidance

Essential concepts. A deficit is a flow; public debt is a stock. Debt-to-GDP and servicing costs affect sustainability.

Required reasoning. Ratio is 50%; interest rates, maturity, growth and revenue capacity determine risk.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl debt from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Ratio is 50%; interest rates, maturity, growth and revenue capacity determine risk.

Counterargument and conditions. Debt sustainability depends on borrowing costs, growth, maturity and revenues, not one ratio.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 45

Medium | HL | 25 marks

Topic 3.3: HL Phillips

(a) [10] Using a Phillips-curve diagram, explain the short-run relationship between inflation and unemployment.

(b) [15] Using real-world examples, evaluate whether the short-run trade-off remains stable after inflation expectations change.

Part (a) - Indicative answer and marking guidance

Essential concepts. The short-run Phillips curve may reflect demand trade-offs; expectations shift it; the long-run curve is vertical at the natural unemployment rate.

Required reasoning. Movement along SRPC can trade inflation for unemployment; expectations or supply shocks shift the curve.

Expected diagram or calculation. Inflation rate on the vertical axis, unemployment rate on the horizontal axis. Label SRPC and, when relevant, vertical LRPC at the natural rate. Show a movement along SRPC for a demand change or shift of SRPC for changed expectations or supply shocks; explain why a lasting demand stimulus changes inflation rather than natural unemployment.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl phillips from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Movement along SRPC can trade inflation for unemployment; expectations or supply shocks shift the curve.

Counterargument and conditions. Expectations and supply shocks can shift the short-run curve; no permanent exploitable trade-off follows.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 46

Easy | HL | 25 marks

Topic 3.3: HL Phillips

(a) [10] Using a Phillips-curve diagram, explain why the long-run curve is vertical at the natural rate of unemployment.

(b) [15] Using real-world examples, discuss whether governments can keep unemployment below the natural rate through demand growth.

Part (a) - Indicative answer and marking guidance

Essential concepts. The short-run Phillips curve may reflect demand trade-offs; expectations shift it; the long-run curve is vertical at the natural unemployment rate.

Required reasoning. Expected inflation adjusts so sustained demand stimulus cannot hold unemployment below its natural rate indefinitely.

Expected diagram or calculation. Inflation rate on the vertical axis, unemployment rate on the horizontal axis. Label SRPC and, when relevant, vertical LRPC at the natural rate. Show a movement along SRPC for a demand change or shift of SRPC for changed expectations or supply shocks; explain why a lasting demand stimulus changes inflation rather than natural unemployment.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl phillips from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Expected inflation adjusts so sustained demand stimulus cannot hold unemployment below its natural rate indefinitely.

Counterargument and conditions. Expectations and supply shocks can shift the short-run curve; no permanent exploitable trade-off follows.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 47

Hard | HL | 25 marks

Topic 3.3: HL CPI

(a) [10] Given a basket with 2 units of A and 3 units of B, with prices rising from 10 to 12 and 20 to 22 respectively, calculate the basket's price index (base 100) and explain why the quantities act as weights.

(b) [15] Using real-world examples, evaluate whether a weighted price index describes all consumers' inflation equally.

Part (a) - Indicative answer and marking guidance

Essential concepts. A weighted price index uses fixed basket quantities or spending shares to aggregate distinct price changes.

Required reasoning. Base basket costs 80 and current basket 90, so index=112.5; households consume different baskets.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl cpi from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Base basket costs 80 and current basket 90, so index=112.5; households consume different baskets.

Counterargument and conditions. A national weighted basket differs from each household’s purchases.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 48

Medium | HL | 25 marks

Topic 3.3: HL CPI

(a) [10] Given spending weights of 60% on food and 40% on transport, and price increases of 10% and 5%, calculate the weighted inflation rate and explain why a simple average is inappropriate.

(b) [15] Using real-world examples, discuss whether headline inflation is sufficient to assess pressure on low-income households.

Part (a) - Indicative answer and marking guidance

Essential concepts. A weighted price index uses fixed basket quantities or spending shares to aggregate distinct price changes.

Required reasoning. Weighted average is 0.6*10+0.4*5=8%; household weights differ.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl cpi from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Weighted average is 0.6*10+0.4*5=8%; household weights differ.

Counterargument and conditions. A national weighted basket differs from each household’s purchases.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 49

Hard | HL | 25 marks

Topic 3.3: HL debt

(a) [10] Explain how higher debt-servicing costs can constrain future government spending.

(b) [15] Using real-world examples, evaluate whether a rise in the national debt must force immediate tax increases.

Part (a) - Indicative answer and marking guidance

Essential concepts. A deficit is a flow; public debt is a stock. Debt-to-GDP and servicing costs affect sustainability.

Required reasoning. Interest absorbs budget revenue, but growth, refinancing and fiscal capacity affect adjustment.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl debt from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Interest absorbs budget revenue, but growth, refinancing and fiscal capacity affect adjustment.

Counterargument and conditions. Debt sustainability depends on borrowing costs, growth, maturity and revenues, not one ratio.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 50

Medium | HL | 25 marks

Topic 3.3: HL Phillips

(a) [10] Using AD/AS and Phillips-curve diagrams, explain how a negative supply shock can raise both inflation and unemployment.

(b) [15] Using real-world examples, discuss whether a higher inflation rate must coincide with lower unemployment.

Part (a) - Indicative answer and marking guidance

Essential concepts. The short-run Phillips curve may reflect demand trade-offs; expectations shift it; the long-run curve is vertical at the natural unemployment rate.

Required reasoning. SRAS left raises prices and reduces output, shifting SRPC out; the simple demand trade-off can break down.

Expected diagram or calculation. First draw AD/AS with price level vertically, real output horizontally, SRAS shifting left, and the higher price level and lower output. Then draw inflation vertically and unemployment horizontally with a short-run Phillips curve shifted right/up, marking higher inflation and unemployment; label the natural-rate reference if used.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl phillips from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. SRAS left raises prices and reduces output, shifting SRPC out; the simple demand trade-off can break down.

Counterargument and conditions. Expectations and supply shocks can shift the short-run curve; no permanent exploitable trade-off follows.

Application and real-world example. IMF accounts of Europe’s 2022 energy shock illustrate that inflation and weak output can coexist. Use comparable IMF WEO growth, inflation and unemployment data for a named country. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Sources and scope

The current IB Economics guide controls syllabus boundaries. The uploaded Economics for the IB Diploma, second edition (2012), is a supplementary conceptual check; its older chapter sequence and content cannot expand the current specification. Real-world examples are optional and should be checked against their cited sources.

IB guide. Economics guide, first assessment 2022, Unit 3 Topic 3.3; current syllabus scope and level boundaries.

Open source

IMF. World Economic Outlook data on output growth, inflation, unemployment and fiscal indicators.

Open source

IMF Europe. European cost shock and growth-inflation conflict in 2022.

Open source

Final checks

50 paired questions; 10 Easy, 25 Medium, 15 Hard; 42 questions cover SL/HL content and 8 are labelled HL. The student paper contains no answers or difficulty labels.